

Ongoing Monitoring and Enhanced Due Diligence High-Risk Memberships

GUIDELINES

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BEEM
CREDIT UNION

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1 Purpose

These guidelines are intended for Beem Credit Union (the Credit Union) employees who hold relationships with High-Risk Members, and outline the requirements for conducting:

- Ongoing monitoring, and/or
- Enhanced due diligence (EDD) measures.

These processes are a foundational aspect of the Credit Union's Anti-Money Laundering (AML) Program to ensure compliance with the Proceeds of Crime (Money Laundering) and Terrorist Financing Act (PCMLTFA).

2 Overview

Branch employees are accountable for completing certain enhanced due diligence measures, including ensuring that ongoing monitoring reviews occur as scheduled, are appropriately documented, and are submitted to the AML Compliance Department in a timely manner.

2.1 Ongoing Monitoring

As part of its Anti-Money Laundering (AML) and Terrorist Financing (TF) Policy, the Credit Union must conduct ongoing monitoring on all members to ensure compliance.

1.	Identification, beneficial ownership information, and purpose and intended nature of the business relationship is documented, accurate and current.
2.	Member risk ratings are reassessed and based upon up-to-date transactions and activities.
3.	Member transactions are consistent with Know Your Member (KYM) information.
4.	Detection of any suspicious transactions, attempted or completed, that are required to be reported to FINTRAC in a Suspicious Transaction Report (STR).

2.2 Enhanced Due Diligence

The enhanced due diligence (EDD) process involves the thorough collection and analysis of information about a member's history, risk profile, and reputation. The objective is to minimize the concerns that high-risk relationships can introduce, especially for high-net-worth businesses and those that engage in electronic or elevated volume transactions (e.g., wire transfers or large cash deposits).

EDD is the highest level of due diligence that the Credit Union can complete, and it is also an intensive approach to Know Your Member (KYM) requirements.

Term	Definition
Enhanced Due Diligence (EDD)	Enhanced due diligence (EDD) is a set of additional measures the Credit Union will implement to monitor members that pose a higher risk for money laundering or terrorist financing which increase the organization's overall risk exposure.
EDD Submission Timeline	Required information must be submitted to the AML Compliance Department within one week of the EDD date.

Ongoing monitoring for High-Risk Members also includes the application of certain EDD measures to further mitigate and manage the increased risk these memberships pose. The following enhanced measures must be performed by the Credit Union for all High-Risk Members at least once every 12 months:

1.	A review of Know Your Member (KYM) information to ensure it is accurate, up-to-date and complete
2.	Enhanced transaction monitoring to ensure that behavior is as expected and aligned with KYM information.
3.	EDD measures to increase the understanding of High-Risk Member relationships.

3 High-Risk Members

High-Risk Members as defined by the Credit Union, are outlined in the [High-Risk, Prohibited, and Restricted Memberships Policy](#). These memberships can include countries, entities, industries, and occupations. Refer to this policy for a comprehensive description of who and what qualifies as a high-risk member.

A High-Risk Member may be identified through the following channels:

- An Unusual Activity Report (UAR)
- Regular ongoing monitoring activities
- Triggering event(s)
- Membership opening
- Negative news or adverse media search

3.1 High-Risk Countries

The Credit Union considers the provision of financial services, directly or indirectly, to individuals and entities associated with certain countries (each a "High-Risk Country") to be a higher risk for ML/TF.

For a full list of countries that the Credit Union has identified as high risk, refer to the [High-Risk, Prohibited, and Restricted Memberships Policy](#).

3.2 High-Risk and Approval Required Business

For a full list of business types that the Credit Union has identified as high risk, refer to the [High-Risk, Prohibited, and Restricted Memberships Policy](#).

Some examples include, but are not limited to:

- General Goods (Import / Export)
- Licensed Cannabis Producer / Distributor / Retail (Dispensary)
- Registered Money Service Business (MSB) / Foreign Currency Exchange
- Registered Virtual Currency Exchange
- Licensed Casino and Gambling Establishments
- Mortgage Lenders
- Precious Metals and Stones Dealer (PMSD) / Pawn Shop
- Entities deemed high-risk by the Credit Union

3.3 High-Risk Individuals

The Credit Union has deemed certain individuals as High-Risk Members, including:

- Foreign Politically Exposed Persons (Foreign PEP)
- Family Member or Close Associate of a Foreign PEP
- Individuals considered high-risk by the Credit Union due to occupation, or association with high-risk industries, entities, or countries

For a full list of occupations or associations the Credit Union has identified as high-risk, refer to the [High-Risk, Prohibited, and Restricted Memberships Policy](#).

4 Enhanced Due Diligence Measures

Enhanced due diligence (EDD) measures are placed on High-Risk Members to reduce potential harm to the Credit Union, such as administrative monetary penalties and reputational risk. These steps also assist with ensuring the overall membership remains within the Credit Union's risk tolerance.

Depending on the High-Risk Member relationship, various EDD measures could be applied including, but not limited to, the following examples:

EDD Measure	Application
Conducting ongoing monitoring	• Monthly, quarterly, semi-annual, or annual review cycles

EDD Measure	Application
Restricting certain services	• E-transfers • Remote deposits • Online Banking • Extended holds on deposits
Collecting additional information for transactions	• Source of funds • Purpose of payment • Supporting invoices
Requesting additional supporting membership documentation	• Government licensing or registration • AML Policies and Procedures • Business licenses

4.1 Notification of Enhanced Due Diligence Measures

Branch employees will be notified by the AML Compliance Department when EDD measures have been placed on a High-Risk Member. The notification from the AML Compliance Department will come via email to the Branch Manager where the member's relationship is held, detailing the following:

- EDD measures to be placed on the member, including:
 - Service restrictions
 - Ongoing monitoring requirements
 - Next review date
- Whether a withdrawal of services or membership demarket is recommended
- Any additional information pertaining to the relationship that is required

4.1.1 Scheduling and Tracking Requirements

Each branch is responsible for determining how they will track and monitor High-Risk Members with EDD measures in place. Information must be recorded and provided to the AML Compliance Department by the due date outlined in the [EDD Notification](#).

AVPs and Directors, Consumer Banking are ultimately responsible for ensuring that employees complete EDD measures on-time, as scheduled.

5 Frontline Enhanced Due Diligence Process

The following enhanced due diligence (EDD) process outlines the roles and responsibilities of branch employees when conducting EDD measures on High-Risk Members. The EDD process includes the following steps:

1.	Update KYM Information
2.	Complete Ongoing Monitoring Requirements
3.	Submit information to the AML Compliance Department

The above must be completed on, or before, the next scheduled EDD review due date provided by the AML Compliance Department in the [EDD Notification](#).

5.1 Updating KYM Information

The purpose of updating KYM information is to ensure that all relevant information held on file for the member is accurate, complete, and current. Any incomplete or out-of-date KYM information will be collected by the branch where the member relationship was established. KYM information is deemed current if the branch has conducted a compliance review within the previous 12 months and no missing information was identified.

It is the branch's responsibility to maintain KYM information while conducting regular banking activities, and at [Triggering Events](#). If there is evidence the information in the Banking System may be obsolete or inaccurate, the AML Compliance Department will request the branch to update KYM information.

If the branch is unable to update the KYM information or complete the ongoing monitoring requirements, the following actions apply:

1.	A restriction must be placed on the membership to collect updated KYM information, if applicable.
2.	The membership must be escalated to the AML Compliance Department to determine if account services will be restricted as compliance requirements were not satisfied.

5.1.1 Personal and Sole Proprietorship

At a minimum, the following KYM information held in the Banking System should be reviewed for accuracy and completeness and updated as required.

Personal Relationships and Sole Proprietorships:

- Identification information
 - Update expired identification
- Address (legal address and mailing), telephone number and email address, if applicable

Personal Relationships and Sole Proprietorships:

- Employer and specific occupation information:
 - Ensure the information is reasonably descriptive. For example, if the individual's occupation is "Manager", the Banking System should specify the area of management, such as "Hotel Reservations Manager" or "Retail Clothing Store Manager"
- If the individual is a sole proprietor, the nature of their principal business must be recorded:
 - Ensure the information is reasonably descriptive. For example, if the individual is a self-employed consultant, the Banking System should specify the area of consultancy, such as "Anti-Money Laundering Consultant" or "Residential Construction Consultant"
- PEP determination
- Tax declaration
- Purpose and intended nature (PIN) of business relationship
- Intended use of account(s)
- Third-party declaration
- Documentation is accurate, complete, and current

5.1.2 Business / Entity

At a minimum, the following KYM information held in the Banking System should be reviewed for accuracy and completeness, and updated as required.

Business / Entity:

- Documentation that confirms the existence of the entity
 - Ensure the documentation on file is complete, accurate, and up-to-date for the specific type of entity
- List of current Directors, if applicable (BC Online Registry Search)
- Identification information for each signing authority
 - Update expired identification
- Beneficial ownership information (i.e. Central Securities Register)
 - The names and address of all individuals that own, or control, 25% or more of the entity
- Nature of business
 - Ensure the information is reasonably descriptive. For example, when an entity's principal business area is "sales", the Banking System should specify the type of sales, such as "pharmaceutical sales" or "retail sales"
- Purpose and intended nature (PIN) of business relationship

Business / Entity:

- Intended use of account(s)
- Tax declaration
- Third-party declaration
- Documentation is accurate, complete, and current

5.1.2.1 Beneficial Ownership Discrepancy

Due to legislative changes, the Credit Union now holds additional obligations for any federally incorporated members which are deemed high-risk by the Credit Union. During the ongoing monitoring of any applicable high-risk business relationships, the Credit Union is required to compare the beneficial ownership information collected from the member with the information recorded in the [Corporations Canada's database](#). If a discrepancy is identified, notify the [AML Compliance Department](#).

The AML Compliance Department is responsible for filing any Beneficial Ownership Discrepancy Reports, as required.

5.2 Ongoing Monitoring

Ongoing monitoring for all High-Risk Members must be conducted at minimum every 12 months. However, in certain cases the AML Compliance Department may request more frequent ongoing monitoring reviews be completed depending on the membership risk:

- Monthly
- Quarterly
- Semi-annually
- Annually

When the branch is [notified of EDD measures for a High-Risk Member](#), the ongoing monitoring review frequency will be outlined, as well as any additional [EDD measures](#) that are required..

When an ongoing monitoring review is scheduled, the branch must review the membership and activity that has been conducted since the last review date to determine whether:

- Activity is consistent with the expected behaviour, purpose and intended nature of the business relationship and intended use of account(s)
- Any unusual activity, or indicators of ML/TF have been identified
- Additional information is collected and compiled as per the AML Compliance Department request, for example:
 - Source of funds

- Purpose of payment
- Additional documentation
 - Invoices
 - Source of funds supporting documentation (e.g. bank statements)

5.2.1 Recording Source of Funds and Purpose of Payment

When the AML Compliance Department requests source of funds and purpose of payments be collected and recorded as part of the EDD measures placed on a High-Risk Member, the branch must document this information for each deposit, as per the requirements below.

Requirement	Record
Cash deposits over \$5,000	For cash deposits over \$5,000 record the following within the large cash transaction override note: • Date and value of the deposit • Source of funds and/or purpose of payment provided by the member • Refer to the Large Cash Transaction Reporting (LCTR) Guidelines
Cash deposits under \$5,000, or for cheque deposits of any value	For cash deposits under \$5,000, or for cheque deposits of any value, record details within CRM outlining: • Date and value of the deposit • Type of deposit (e.g. cash, cheque, bank draft) • Source of funds and/or purpose of payment provided by the member

The AML Compliance Department will outline in their [EDD Notification](#) when source of funds and/or purpose of payment is required to be collected for a High-Risk Member, including the dollar value threshold to collect, if applicable.

5.2.1.1 Additional documentation

If additional documentation is requested as part of the EDD measures placed on a High-Risk Member, any records that are collected from the member must be uploaded to ECM for retention. A notification to the AML Compliance Department is required once the documents are collected.

5.3 Submission of Findings

Once all EDD measures have been completed as required, the branch must notify the AML Compliance Department by submitting their findings through the Unusual Activity Report application. Refer to the [Ongoing Monitoring Reporting Process](#).

Notification must include:

- Additional documentation that was collected
- Information that pertains to the ongoing monitoring review
- Whether any UARs were submitted involving the High-Risk Member during the review period
- Any other information that the branch deems relevant to assist the AML Compliance Department

Once received, the AML Compliance Department will review the information provided, and follow up with the branch if anything additional needs to be collected and/or provided before the next EDD Review due date.

6 EDD Reviews for High-Risk Entities / Industries

As the Credit Union may approve memberships with entities involved with higher-risk industries, or entities that are defined as reporting entities under the PCMLTFA, extra measures must be taken while completing EDD reviews for these High-Risk Members. The designated department that holds the relationship with these types of members will collect and provide all the required documentation and information for final review by the AML Compliance Department.

These entities can include, but are not limited to:

- Licensed Cannabis Retail
- Health Canada Licensed Producers of Cannabis
- Money Services Businesses (MSB)
- Dealers of Precious Metals and Stones
- Armored Car Businesses
- Casinos
- Mortgage Lenders
- Other reporting entities, as defined by FINTRAC

Refer to the [High-Risk, Prohibited, and Restricted Memberships Policy](#) for a complete list of entities deemed as high risk by the Credit Union.

These types of memberships require a full EDD review at least once every 12 months to ensure that they are operating within the Credit Union's risk tolerance. The EDD review should be completed within 30 days of commencement. Should an employee be unable to collect the required information and documentation from the member within this timeframe, a notification must be sent to the [AML Compliance Department](#).

6.1 Review Process

In addition to the [Frontline Enhanced Due Diligence Process](#), the following supplemental measures will be required for High-Risk Entities.

6.1.1 Supplemental Documentation

Depending on the type of high-risk entity and associated industry, certain additional documents are required from the member.

6.1.1.1 Government Licensing or Registration

If the entity requires government licensing or registration to operate within Canada or BC, valid and current licensing documents must be collected.

Entity / Industry	Supporting Documents
Money Services Businesses	• FINTRAC Money Services Business registration • Municipal business license for each location(s) of operation
Cannabis Entities	• Retail cannabis store license • Health Canada Production License • Municipal business license for each location(s) of operation
Casinos	• Gaming Policy and Enforcement Branch License • Municipal business license for each location(s) of operation
FINTRAC Reporting Entity	• FINTRAC registration, as applicable • Registration or license, as required by governing regulatory body • Municipal business license for each location(s) of operation

6.1.1.2 AML Risk Assessment and AML Policies and Procedures

Entities that are defined under the PCMLTFA as reporting entities are required to meet certain regulatory requirements, as prescribed by FINTRAC. To ensure that these higher-risk memberships are operating their account in line with regulatory requirements we must collect and review their AML Policies, Procedures and Risk Assessments.

6.1.1.3 Other Supporting Documentation

Depending on the type of entity, additional documents can be requested to ensure that accounts are operated in line with what would be expected, given the stated nature of business.

Some examples may include:

Entity / Industry	Additional Documents
Money Services Business	• Full list of storefront and/or ATM locations • Current employee list

Entity / Industry	Additional Documents
	○ AML training certifications • Name of current Compliance Officer • Entity reports : ○ Several months of the most recent bank statements for accounts held at other financial institutions ○ Average number of monthly regulatory reports submitted to FINTRAC (e.g. EFTR, LCTR, STR, and LVCTR)
Cannabis Entity	• CRA corporate tax return and notice of assessment • Balance sheet and income statement • Current employee listing • Employee training program content with attestation of completed training (e.g. Selling It Right) • Entity reports: ○ Several of the most recent cannabis sales orders ○ Several months of the most recent sales reports (e.g. cash, debit/credit monthly listing) ○ Several months of the most recent bank statements for accounts held at other financial institutions
FINTRAC Reporting Entity	• Full list of locations, if applicable • Current employee listing ○ Individual employee certification, designation, or license • Name of current Compliance Officer • Entity reports ○ Several months of the most recent bank statements for accounts held at other financial institutions ○ Average number of monthly regulatory reports submitted to FINTRAC (e.g., EFTR, LCTR, STR, and LVCTR)

6.1.1.4 Addendum to Terms and Conditions

The Addendum to the regular account Terms and Conditions outlines any additional requirements of the membership including additional documentation that may be requested on a regular basis, monthly compliance administration fees charged to the member's accounts, and the authority for the Credit Union to

close accounts should operations not be as expected. An Addendum must be completed by the member and retained within ECM.

If an Addendum is not on file, the applicable Addendum to Terms and Conditions will be provided to the branch employee by the AML Compliance Department to be signed by the member and uploaded to ECM.

6.1.2 Open-Source Searches

As higher-risk entities may operate with government licensing requirements, additional open-source searches are to be conducted to ensure that appropriate licencing is active.

BC Retail Cannabis Store License Listing	Cannabis store locations and buy legal information - Province of British Columbia
Health Canada Licensed Producers	Licensed cultivators, processors and sellers of cannabis under the Cannabis Act
FINTRAC MSB Search	Money Services Business Registry

6.1.3 AML Compliance Review / Approval

After all information and documentation has been collected by the branch employee, it is submitted by email to the [AML Compliance Department](#) for final review and approval.

If any further information is required, the AML Compliance Department will send an email outlining the outstanding documentation and information to the applicable branch or relationship manager.

Once the AML Compliance Department has reviewed all relevant information, a determination will be made whether the High-Risk Entity is operating within the Credit Union's risk tolerance.

Exceeds Risk Tolerance	If the membership is determined to exceed the Credit Union's risk tolerance, a recommendation to withdraw services will be made by the AML Compliance Department. Refer to Exceeding Risk Tolerance section.
Within Risk Tolerance	If the membership is operating as expected and no concerns have been identified, an email will be sent to the branch or relationship manager outlining the next review date and any new or remaining EDD measures that will be applied to the membership.

7 Exceeding Risk Tolerance

During regular ongoing monitoring or EDD reviews, if the AML Compliance Department, or the branch, identifies a membership that they believe is exceeding the Credit Union's risk tolerance, the withdrawal of services process may be initiated, refer to the [Withdrawal of Services Guidelines](#).

8 Identifying Unusual Activity

If at any time during ongoing monitoring or completing EDD measures an employee identifies unusual activity or indicators of potential ML/TF, an Unusual Activity Report must be completed and submitted to the AML Compliance Department, refer to the [Unusual Activity Reporting Guidelines](#).

9 Reference

[High-Risk, Prohibited, and Restricted Memberships Policy](#)

Version History

DATE	VERSION	CHANGE
July 15, 2026	002	New section: Beneficial Ownership Discrepancy Sections updated: Purpose Enhanced Due Diligence High-Risk Members High-Risk and Approval Required Business High-Risk Individuals Enhanced Due Diligence Measures Notification of Enhanced Due Diligence Measures Frontline Enhanced Due Diligence Process Updating KYM Information Submission of Findings (formerly named Completion of Frontline EDD Process) Government Licensing or Registration Other Supporting Documentation Addendums to Terms and Conditions
August 25, 2025	001	Initial Version Created